EXECUTIVE SUMMARY

1. Introduction

a. Agency Profile

The Municipality of Piat was founded on May 1, 1610 and got its name probably from the word "APIYAT" (meaning message) as this was the predominant art of healing during those times and from the native word "PIA" which means goodness, usefulness, good health or pleasant looks. The old name of the town is "PIAS" as the name was engraved in the old bells of Sto. Domingo Church. The town proper is nestled in a plateau about 42 kilometers northeast of the capital town of Cagayan Province – Tuguegarao City. It has a population of 23,597 and based on the statistics of the last election, a total of 14,216 were registered voters.

For CY 2016, the Municipality of Piat had a total of 76 personnel complement with 63 permanent, 11 elective, 2 casual employees.

b. Audit Methodology and Scope of Audit

The audit covered the accounts and operations of the Municipality of Piat, Cagayan for the year 2016 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality of Piat for the year-ended December 31, 2016 with comparative figures for CY 2015 are as follows:

	2016	2015	Increase/ (Decrease)
Financial Position			
Total Assets	P192,708,854.12	₱164,012,737.69	28,696,116.43
Total Liabilities	58,437,317.57	42,859,091.08	15,578,226.49
Total Government Equity	134,271,536.55	121,153,646.61	13,117,889.94
Financial Performance			
Total Income(Includes Subsidy from Other Funds)	87,381,029.16	79,472,485.43	7,908,543.73

	2016	2015	Increase/ (Decrease)
Total Expenses (Includes Total Operating Expenses, Interest Expenses, Subsidy to Other Funds and Donations)	71,236,808.55	60,449,302.05	10,787,506.50
Appropriations, Allotments and Obligations			
Total Appropriations-Current	91,458,214.00	75,942,106.00	14,016,108.00
Total Obligations - Current	61,659,108.67	47,087,868.91	14,135,499.33
Total Appropriations-Continuing	21,685,728.90	23,361,451.34	(1,675,722.44)
Total Obligations-Continuing	5,892,479.16	2,668,436.58	3,224,042.58

In 2016, the Municipality of Piat received funds from other government agencies totaling ₱11,168,344.75 but no funds were transferred to NGAs or LGUs in 2016, to wit:

	2016	2015	Increase/ (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱11,168,344.75	₱10,410,925.00	₱757,419.75
Local Government Units	0.00	118,000.00	(118,000.00)
Non-Government Organizations/People's Organizations (NGOs/POs)		-	
Others		-	
Total	**11,168,344.75**	10,528,925.00	**639,419.75**
Funds Transferred to:			
NGAs		-	
Local Government Units	₱ 0.00	₱ 18,000.00	₱(18,000.00)
NGOs/POs		-	
Total	**0.00**	**18,000.00**	**(18,000.00)**

3. Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Piat for the year-ended December 31, 2016 due to the following:

1. Inadequate accounting and property records to ascertain the propriety and reliability of the recorded Property, Plant and Equipment account totaling

₱56,922,932.20. Due to inadequacy of records and documents, the carrying value of properties as at December 31, 2016 were not ascertained.

2. The balance of RPT and SET Receivable accounts totaling ₱23,923,471.44 were based on estimates made in CY2008 and not a certified list of taxpayers and remained constant up to CY2016. The effects in accounting for RPT and SET income using the Modified Accrual Basis were not adjusted in the books. The lack of certified list and/or subsidiary ledgers prevented alternative audit procedures to be performed to ascertain the accuracy and reliability of the accounts at year-end.

3. Unaccounted difference of ₱2,466,360.71 on the consolidated balances of "Due from Other Funds" and "Due to Other Funds" under the Intra-agency Receivable and Payable accounts. The difference was not accurately eliminated in the consolidated financial statements at year-end.

4. Unreconciled difference of ₱1,514,792.01 in the Cash in Bank account per recorded balances in the General Ledger against confirmed balances by depository banks as a result of the continued non-preparation of monthly Bank Reconciliation Statements (BRS) to ascertain the reliability and accuracy of the Cash – Local Currency- Savings Account with a total balance of ₱93,499,372.36.

4. Significant Observations and Recommendations

1. **Actions necessary for the recovery of checks that formed part of the deposited collections but were subsequently dishonored by depository bank totaling ₱433,971.29 were not instituted hence the books of account was not properly adjusted at year-end.**

   We recommended that Management endeavor to determine the checks and institute necessary and lawful actions in order to recover the equivalent value of the checks that were dishonored. Ascertain that appropriate procedures have been made before effecting the adjustments in the books.

2. **The continued failure of the Accounting Office and Treasury Office to reconcile their records resulted in a difference of ₱556,519.91 in the Cash-Local Treasury balance per Cash Book totaling ₱1,948,926.84 versus the balance per General Ledger of ₱2,505,446.75 at year-end.**

   We reiterated our recommendation that the Municipal Accountant and Municipal Treasurer prioritize the reconciliation of the Cash Book and General Ledger balances and to make necessary adjustments to present the correct Cash-Local Treasury account at year-end.

3. **The Municipal Treasurer did not exercise the diligence of a good father of a family in supervising the accountable officers and designated collecting**

clerks under her supervision by not properly monitoring the accountable forms issued to them resulting in unaccounted/un-submitted and/or unremitted various official receipts.

We strictly required the Municipal Treasurer to immediately produce, submit and remit all accountable forms not yet reported and remitted for proper accounting and reporting. Otherwise, appropriate sanctions may be imposed on the Municipal Treasurer for failure to render accounts

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱ 356,531.25	-	₱ 356,531.25	₱ 0.00	-
Current Year	-	-	-		-
Total	356,531.25	-	356,531.25	0.00	-
Disallowances					
Prior Years	1,629,458.00		299,750.00	1,329,708.00	18%
Current Year	0.00	299,062.50		299,062.50	0%
Total	1,629,458.00	299,062.50	299,750.00	1,628,770.50	18%
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 14 audit recommendations in the 2015 Annual Audit Report, five (5) were implemented, seven (7) were partially implemented and two (2) were not implemented.